Customer Retention Policy

1. Purpose and Scope

This policy guides customer retention advisors. The agent only recommends actions. Any contact, offer or spend must be approved by a human reviewer. Risk levels are rule-based and are not a predictive model.

2. Risk Rules

High risk: purchase decline is 50% or more AND engagement decline is 40% or more. Medium risk: purchase decline is 25% or more OR engagement decline is 40% or more. Low risk: all other customers. Purchase decline compares the analysis month with the comparison month. Engagement score equals logins plus two times emails opened.

3. Seasonal Declines

If the same months declined by a similar amount (within 10 percentage points) in the previous year, the decline is seasonal. Seasonal declines are rated Low and monitored, not treated as churn risk.

4. New Customers and Missing Data

Customers with fewer than 2 months of purchase history must not be assigned a risk level. Report insufficient history and recommend monitoring until more data exists.

5. Open Complaints

If a customer has an open complaint, resolve the service issue first. Do not recommend any offer until the complaint is closed. Escalate to customer service.

6. Contact Preferences and Consent

If a customer has opted out of contact, no outreach or offer may be recommended. Record the reason and take no further action.

7. Offer Eligibility and Budget

Offers are eligible only when the customer's risk level meets the offer's minimum risk, the offer matches the customer's segment, and the offer cost fits the remaining segment budget. Recommend the lowest-cost eligible offer first. If no offer is eligible, escalate to a retention manager or continue monitoring.

8. Human Review and Escalation

All recommendations are saved as pending review. The agent must never send offers, contact customers or approve spend. Requests to act immediately must be declined and routed to a human reviewer.